

Profit, Loss & Discount

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Essential Terms to Know

Cost Price (CP)

The original price an item is bought for.



Selling Price (SP)

The price an item is sold for.



Marked Price (MP)

The price written or tagged on the product.

Understanding these terms is the first step to becoming a smart consumer and a savvy business person!

Profit :



Imagine you buy a book for Rs. 5. You read it, and then decide to sell it to a friend for Rs.7. You made money!

- Profit happens when: Your Selling Price (SP) is greater than your Cost Price (CP).

The Formula: Profit = Selling Price (SP) – Cost Price (CP)

Example:

Cost Price (CP) = Rs.200

Selling Price (SP) = Rs.250

Profit = Rs.250 - Rs.200 = Rs.50!

Loss :

Now, what if you bought that comic book for Rs.5, but your friend only wanted to pay Rs.3 for it? You would have lost money.

- Loss happens when: Your Selling Price (SP) is less than your Cost Price (CP).

The Formula: $\text{Loss} = \text{Cost Price (CP)} - \text{Selling Price (SP)}$

Example:

Cost Price (CP) = Rs.300

Selling Price (SP) = Rs.250

Loss = Rs.300 - Rs.250 = Rs.50!



Discounts :

Who doesn't love a good deal? Discounts are a way for stores to attract customers and clear out old stock.

- What is it? A reduction in price given on the Marked Price.

The Formula: Discount = Marked Price (MP) – Selling Price (SP)

Example:

A new video game console has a Marked Price (MP) of \$1000.

During a holiday sale, you buy it for a Selling Price (SP) of \$800.

Discount = Rs.1000 - Rs.800 = Rs.200!



Profit , Loss & Discount Percentages :

Knowing the exact dollar amount of profit or loss is good, but percentages help us compare how well we did, no matter the price of the item!



Profit Percentage :

This tells us how much profit we made for every \$100 spent.

Formula: $(\text{Profit} \div \text{Cost Price}) \times 100$

Example: Profit = Rs.40, CP = Rs.200

Profit % = $(40 \div 200) \times 100 = 20\%$



Loss Percentage :

This tells us how much money we lost for every \$100 spent.

Formula: $(\text{Loss} \div \text{Cost Price}) \times 100$

Example: Loss = Rs.30, CP = Rs.150

Loss % = $(30 \div 150) \times 100 = 20\%$



Discount Percentage :

This tells us how much discount we got for every \$100 of the marked price.

Formula: $(\text{Discount} \div \text{Marked Price}) \times 100$

Example: Discount = Rs.20, MP = Rs.100

Discount % = $(20 \div 100) \times 100 = 20\%$

JamBoard :

Whiteboard

Untitled whiteboard



Formulas:

Profit = Selling Price - Cost Price

Profit Percent = $\frac{\text{Profit}}{\text{Cost Price}} \times 100$

Loss = Cost Price - Selling Price

Loss Percent = $\frac{\text{Loss}}{\text{Cost Price}} \times 100$

Discount = Marked Price - Selling Price

%Discount = $(\text{Discount} / \text{Marked price}) \times 100$

EVERYWHERE YOU LOOK!

Real-Life Applications



Shopkeepers & Businesses

Every store uses these concepts to price their goods and manage their earnings.



Buying & Selling

Even when you trade or sell items with friends, you're experiencing profit and loss!



Online Shopping

From big sales to everyday prices, online retailers constantly use these calculations.



Festival & Clearance Sales

Discounts are a huge part of seasonal shopping and clearing out inventory.

Quiz on Profit, Loss & Discount :

Click here → attempt the quiz & Test Your Learning

Quiz on Profit, Loss & Discount :

This short quiz will help you check how well you understand Profit, Loss, and Discount. Read each question carefully and enjoy solving....

renuseashu501@gmail.com [Switch account](#)

Not shared

* Indicates required question

Which of the following are real-life examples of discount? *

4 points

- ☐ Festival sale
- ☐ Clearance sale
- ☐ Buying vegetables from a shop
- ☐ Online shopping offers

Select all the correct formulas:

4 points

- ☐ Profit = SP - CP

Select all the correct formulas:

4 points

- ☐ Profit = SP - CP
- ☐ Loss = CP - SP
- ☐ Discount = MP - SP
- ☐ Profit % = (Profit ÷ MP) × 100

Discount depends on: *

4 points

- ☐ Marked Price
- ☐ Selling Price
- ☐ Cost Price
- ☐ Reduction in price

Submit

Clear form

Thank you!